

TRUSTS VERSUS TATA SONS' BOARD

The Tata Sons battle is testing how far a board can go against the wishes of a controlling shareholder and where the balance of power lies between ownership and the boardroom

BY **KRISHNA GOPALAN**

CAN A BOARD override the wishes of a shareholder that owns 66% of a company? That is the question at the heart of the latest battle at Tata Sons. The board of Tata Group's holding company has reappointed N. Chandrasekaran as chairman despite opposition from Noel Tata, Chairman of Tata Trusts, which owns 66% of the company.

At stake is a basic question about the balance of power in a company: how far can a board go in exercising its fiduciary responsibilities when its decisions run counter to the wishes of its controlling shareholder?

"As a fundamental canon of corporate jurisprudence, the board manages a company, whereas the company manages the shareholders," says Swapnil Kothari, senior corporate lawyer and Managing Partner, S. Kothari & Co.

The distinction may appear straightforward ordinarily, but Tata Sons is no ordinary company. Its ownership structure is unlike that of a conventional promoter-led business, with Tata Trusts holding 66% and the board comprising directors who do not themselves own any shares in the company, barring Noel Tata who holds 1%.

"Corporate law requires the shareholders of Tata Sons to approve the reappointment at a shareholder meeting—an annual general meeting (AGM) or extraordinary general meeting (EGM)—which means Tata Trusts will have a say in the approval," says Shriram Subramanian, Founder and Managing Director of InGovern Research

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